

Accounting, Chartered Accountancy and Financial Sciences

A note to students: This assessment is not testing whether you can write journal entries or recall accounting standards by number. It is designed to understand how you think about financial information, business transactions, and the logic that underlies good record-keeping. Students who are genuinely well suited for Accounting and Finance at university or professional level tend to be comfortable with numbers, curious about how businesses track their performance, and naturally attentive to detail and consistency. Read each scenario carefully, think it through, and choose the answer that makes the most financial sense to you.

Section 1: Foundations of Accounting

Q1. A small business owner runs a shop and keeps all her financial records in her head rather than writing anything down. At the end of the year, she is unsure whether she has made a profit or a loss, and she cannot tell which customers still owe her money. What does this situation most directly illustrate about why businesses maintain formal accounting records?

A) Accounting records are only necessary for large businesses with many employees B) Without systematic records, a business cannot accurately track what it owns, what it owes, and whether it is performing well C) Financial records are primarily useful for tax purposes and have limited practical value otherwise D) A business that is genuinely profitable does not need to maintain detailed records

Q2. A student is trying to understand the difference between an asset and a liability. His teacher gives him a simple test: think about whether something adds to what a business owns or adds to what a business owes. Using this distinction, which of the following would correctly be classified as a liability?

A) A delivery vehicle the business purchased last month B) Cash sitting in the business's bank account C) A loan the business took from a bank to buy equipment D) Stock of unsold goods sitting in the warehouse

Q3. A business earns revenue of Rs. 8,00,000 in a year and incurs total expenses of Rs. 6,50,000 during the same period. A student looking at these figures says the business is doing well. Another student says you cannot be sure without knowing more. Which student is demonstrating better accounting thinking, and why?

A) The first student, because a positive difference between revenue and expenses always confirms strong business health B) The second student, because profit figures alone do not reveal cash position, debt levels, or whether the income is sustainable C) The first student, because revenue of Rs. 8,00,000 is large enough to indicate a successful business regardless of other

factors D) The second student, because expenses of Rs. 6,50,000 are too high for any business to be considered healthy

Q4. A business purchases a machine for Rs. 5,00,000 that it expects to use for ten years. Rather than recording the full Rs. 5,00,000 as an expense in the first year, the accountant spreads the cost across all ten years. What is the most logical reason for doing this?

A) It reduces the total amount the business pays for the machine over its lifetime B) It ensures that each year's expenses reflect the actual benefit the business receives from the machine during that year C) Accounting rules require all large purchases to be treated as ten-year expenses without exception D) It helps the business avoid paying tax on the machine's full cost immediately

Q5. Two students are debating what accounting ultimately exists to do. One says it is purely about satisfying legal and tax requirements. The other says its deeper purpose is to give business owners, investors, and managers accurate information to make sound decisions. Which view reflects a more complete understanding of accounting's purpose?

A) The first student, because compliance and tax filing are the primary drivers of accounting in practice B) The second student, because the core value of accounting lies in producing reliable information that guides decisions inside and outside the business C) Both views are equally valid and neither is more complete than the other D) Neither view is correct because accounting's real purpose is simply to record what has already happened

Section 2: Accounting Logic and Transaction Analysis

Q6. A business pays Rs. 1,20,000 in cash to purchase office furniture. A student is asked to describe the financial effect of this transaction on the business. Which answer reflects the most accurate accounting reasoning?

A) The business has lost Rs. 1,20,000 because cash has gone out B) One asset, cash, has decreased while another asset, furniture, has increased by the same amount, so the overall financial position is unchanged C) The business has incurred an expense of Rs. 1,20,000 that will reduce its profit this year D) The transaction has no financial effect because the money stayed within the business

Q7. A retailer buys goods worth Rs. 2,00,000 from a supplier but does not pay immediately, agreeing instead to pay within 60 days. How does this transaction affect the business's financial position at the time of purchase?

A) There is no financial effect until the payment is actually made in cash B) The business gains stock as an asset but also takes on a corresponding obligation to pay the supplier, which is a

liability C) The business records a profit because it has received goods without spending any cash yet D) Only the supplier's financial position is affected since no cash has changed hands

Q8. A business owner pays Rs. 25,000 from the business account for her personal holiday. Her accountant flags this as a problem even though the money came from the owner herself. What is the most important accounting reason for the accountant's concern?

A) Holiday expenses are never tax deductible and should therefore never be paid from a business account B) Personal and business finances must be kept separate so that the business's records accurately reflect only its own transactions and performance C) The amount is too small to have any meaningful impact on the business's financial statements D) The accountant is only concerned because this might attract attention during a tax audit

Q9. A business provides services worth Rs. 90,000 to a client in March and sends an invoice, but the client does not pay until May. In which month should the business record this revenue, and why?

A) May, because revenue should only be recorded when cash is actually received B) March, because revenue is recognised when the service is delivered and the right to receive payment is established, regardless of when cash arrives C) It should be split equally between March and May to reflect when the work was done and when payment arrived D) The timing does not matter as long as the revenue is recorded in the same financial year

Q10. A business has the following items: a bank loan of Rs. 3,00,000, cash in hand of Rs. 80,000, equipment worth Rs. 4,50,000, and amounts owed by customers totalling Rs. 1,20,000. A student is asked to calculate the business's net worth using the basic accounting equation. Which approach is correct?

A) Add up all items to get a total of Rs. 9,50,000 as the net worth B) Subtract what the business owes from what it owns: Rs. 6,50,000 in total assets minus Rs. 3,00,000 in liabilities gives a net worth of Rs. 3,50,000 C) Only cash and equipment count as real assets, giving a net worth of Rs. 5,30,000 D) Net worth cannot be calculated without knowing the business's annual revenue figures

Section 3: Financial Statements and Business Performance

Q11. A business reports a net profit of Rs. 15,00,000 for the year. However, its bank account is nearly empty and it is struggling to pay its suppliers on time. A student finds this confusing and assumes the profit figure must be wrong. What is the most accurate explanation for this situation?

A) The profit figure is almost certainly incorrect and the accounts need to be redone B) Profit and cash are different things: profit is earned when sales are made, but cash only arrives when

customers actually pay, so a profitable business can still face cash shortages C) The business must have spent all its profit on unnecessary expenses during the year D) This situation is impossible and cannot occur in a properly run business

Q12. A company's revenue has grown by 20% compared to last year, but its net profit has actually fallen. A financial analyst says this is a serious concern. What is the most likely explanation that would justify the analyst's worry?

A) Revenue growth always leads to profit growth, so the figures must contain an error B) The company's costs have grown faster than its revenue, meaning the business is becoming less efficient even as it grows larger C) A 20% rise in revenue is too small to produce meaningful profit growth in most industries D) Net profit always falls when revenue grows because the two figures move in opposite directions

Q13. A business owner is deciding whether to expand by opening a second location. She has strong profits but notices that most of her revenue comes from a single large customer. Her accountant advises caution. What is the most financially sound basis for this caution?

A) Expanding a business is always risky and should be avoided regardless of the financial position B) Strong profits are sufficient justification for any expansion decision, so the accountant's concern is unnecessary C) Heavy dependence on a single customer creates vulnerability: if that customer reduces orders or leaves, the business's income and ability to service any new costs could collapse quickly D) Opening a second location would automatically reduce the profitability of the first location

Q14. At the end of the financial year, a business has current assets of Rs. 8,00,000 and current liabilities of Rs. 6,50,000. A second business has current assets of Rs. 8,00,000 and current liabilities of Rs. 7,90,000. Both businesses report similar profits. What does comparing these two positions most usefully reveal?

A) Both businesses are in an equally strong financial position because their profits are similar B) The second business has far less buffer between what it can access quickly and what it owes in the short term, making it more vulnerable to cash flow problems C) Current liabilities are less important than profits when assessing a business's short-term health D) The first business must be performing better overall because larger businesses always carry higher liabilities

Q15. A student is reviewing two years of financial data for a business. In Year 1, the business earned a profit of Rs. 12,00,000. In Year 2, it earned Rs. 14,40,000. However, the student also notices that the business took on Rs. 20,00,000 in new debt during Year 2 to fund an expansion. What is the most complete interpretation of this data?

A) The business is clearly growing and the increased profit confirms that the expansion was a sound decision B) Profit growth is positive, but the new debt significantly increases financial risk and the true test will be whether future profits justify and service that borrowing C) Taking on debt is always a sign of poor financial management regardless of the reason D) The profit figures are the only reliable indicator of business performance and the debt is irrelevant to this assessment

Section 4: Accuracy, Auditing and Professional Reasoning

Q16. An accountant reviewing a company's records notices that the total of all assets does not equal the total of all liabilities and capital combined. She immediately flags this as requiring investigation. Why is this imbalance significant?

A) It suggests the company has too many assets relative to its size B) In a correctly maintained set of accounts, the two sides must always balance, so any difference indicates that an error or omission has occurred somewhere in the records C) A small imbalance is normal and only becomes significant when it exceeds a certain rupee threshold D) The imbalance is only a concern if the company is planning to apply for a bank loan

Q17. During an audit, an auditor finds that a company has been recording the same sales invoice twice, inflating its reported revenue. The company claims it was an honest data entry mistake. Regardless of the reason, what is the auditor's primary professional responsibility in this situation?

A) Accept the company's explanation and make a note for future reference B) Report the discrepancy accurately, ensure the records are corrected, and investigate whether similar errors exist elsewhere in the accounts C) Ignore the issue if the total amount involved is small relative to the company's overall revenue D) Ask the company to fix the error quietly without documenting the finding in the audit report

Q18. A business has been paying a particular supplier Rs. 45,000 each month for several years. This month, the invoice from that supplier shows Rs. 54,000 with no explanation for the increase. The accounts team processes it without questioning it. What does this scenario most directly illustrate about the importance of professional judgment in accounting?

A) Invoice amounts routinely change and accounts teams should process them without delay B) A sudden unexplained change in a recurring amount should prompt verification before payment, since processing it without question creates financial risk and undermines internal controls C) The accounts team acted correctly because the supplier relationship is long-standing and therefore trustworthy D) This is only a concern if the business does not have a formal auditing process in place

Q19. A company asks its accountant to record a large anticipated sale as revenue in the current financial year, even though the goods have not yet been dispatched and the customer has not confirmed the order. The accountant refuses. What is the strongest professional basis for this refusal?

- A) The accountant is being overly cautious and the request is standard practice in many industries
- B) Recording revenue that has not been genuinely earned yet would overstate the company's performance, mislead anyone relying on the accounts, and violate the principle that income should only be recognised when it has actually been earned
- C) The accountant is refusing purely because of the risk of a tax audit rather than for any principled accounting reason
- D) The refusal is only justified if the anticipated sale is worth more than a certain minimum amount

Q20. A student considering a career in accounting asks a working CA what quality matters most in the profession beyond technical knowledge. The CA says it is the ability to remain accurate and honest even when under pressure to produce a more convenient result. What does this response most usefully reflect about professional accounting?

- A) That accounting is a purely mechanical task requiring no judgment or ethical thinking
- B) That the value of financial information depends entirely on its reliability, and that reliability depends on the professional maintaining their standards regardless of pressure
- C) That accountants are primarily responsible to their employers rather than to the broader users of financial information
- D) That honesty is a desirable quality in accounting but is ultimately less important than technical accuracy

Answer Key and Explanations

Question	Correct Answer
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Q1	B
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Q2	C
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Q3	B
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Q4	B
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Q5	B
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Q6	B
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Q7	B
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Q8	B
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Q9	B
Q10	B
Q11	B
Q12	B
Q13	C
Q14	B
Q15	B
Q16	B
Q17	B
Q18	B
Q19	B
Q20	B

Q1. Answer: B Accounting exists precisely to give business owners a reliable picture of their financial position. Without records, decisions about pricing, credit, investment, and performance become guesswork, regardless of how experienced the owner is.

Q2. Answer: C A liability is an obligation the business owes to an outside party. A bank loan represents money the business must repay, making it a liability, while vehicles, cash, and stock are all things the business owns and therefore assets.

Q3. Answer: B A profit figure on its own is a starting point, not a complete picture. A business might show a paper profit while sitting on unsustainable debt, facing cash shortages, or relying on one-off income, all of which would change the assessment considerably.

Q4. Answer: B Spreading the cost of a long-lived asset across its useful life ensures that each accounting period bears a fair share of the expense, matching the cost to the periods in which the asset generates value for the business.

Q5. Answer: B While compliance is one function of accounting, its deeper purpose is informational. Owners, investors, lenders, and managers all rely on accurate financial records to make decisions, and this decision-support function is what gives accounting its real value.

Q6. Answer: B This transaction is an exchange of one asset for another. Cash goes out and furniture comes in, both by the same amount. Total assets remain unchanged, and no expense or profit is recorded at the point of purchase.

Q7. Answer: B Buying goods on credit creates two simultaneous effects: the business gains stock, which is an asset, and it takes on a creditor, which is a liability. Both are recorded immediately, not when cash eventually changes hands.

Q8. Answer: B The principle of business entity requires that a business's finances be treated as entirely separate from the owner's personal finances. Mixing them distorts the business's records and makes it impossible to assess the business's true performance.

Q9. Answer: B Under the accrual basis of accounting, revenue is recognised when it is earned, meaning when the service is delivered and the right to payment exists. The timing of cash collection is a separate matter recorded through debtors.

Q10. Answer: B The accounting equation states that net worth equals total assets minus total liabilities. Adding the three assets gives Rs. 6,50,000, and subtracting the Rs. 3,00,000 loan gives a net worth of Rs. 3,50,000. Revenue figures are not needed for this calculation.

Q11. Answer: B Profit measures whether income exceeds expenses on an accrual basis, while cash measures what has actually been received. A business can be profitable while cash-poor if customers are slow to pay, which is one of the most common financial challenges businesses face.

Q12. Answer: B When revenue grows but profit falls, it means costs have increased by a greater proportion than income. This is a warning sign about the business's cost structure and efficiency, even if the top-line growth looks positive.

Q13. Answer: C Concentration risk is a genuine financial concern. A business that depends heavily on one customer for most of its revenue is exposed to significant disruption if that relationship changes, making expansion plans built on that revenue base inherently fragile.

Q14. Answer: B The gap between current assets and current liabilities, known as working capital, indicates how comfortably a business can meet its short-term obligations. The second business's very narrow margin leaves little room to absorb any delays in income or unexpected costs.

Q15. Answer: B Growing profits are encouraging, but borrowing Rs. 20,00,000 to achieve them means the business now carries significantly more financial risk. Whether the expansion was wise depends on whether future earnings can cover the debt and justify the interest cost.

Q16. Answer: B Double-entry bookkeeping is built on the principle that every transaction has equal and opposite effects, so the total of assets must always equal the total of liabilities plus capital. Any imbalance is a direct signal that something has been recorded incorrectly or omitted.

Q17. Answer: B An auditor's professional responsibility is to report findings accurately and investigate their extent, regardless of how they are explained. Accepting an explanation without investigation, or suppressing findings, would compromise the integrity of the audit entirely.

Q18. Answer: B Unexplained changes in recurring amounts are a classic red flag in financial controls. Processing them without verification creates the risk of overpayment, fraud, or error going undetected, and a professionally run accounts function should require justification before approving any significant departure from the established pattern.

Q19. Answer: B Recording revenue before it is genuinely earned inflates reported performance and misleads anyone relying on the accounts, including investors and lenders. The revenue recognition principle exists precisely to prevent this, and an accountant who complies with such a request would be compromising the integrity of the financial statements.

Q20. Answer: B Financial information is only as useful as it is trustworthy. The moment an accountant begins adjusting records to produce a preferred result rather than an accurate one, the information loses its value as a basis for decisions, which is why professional integrity is not optional but foundational to the entire purpose of accounting